UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK

STUART FORCE individually and as personal representative of the ESTATE OF TAYLOR FORCE, *et al.*,

Plaintiffs,

-against-

QATAR CHARITY, QATAR NATIONAL BANK and MASRAF AL RAYAN,

Defendants.

Case No. 20-cv-2578 (BMC)

ORAL ARGUMENT REQUESTED

MEMORANDUM OF LAW IN SUPPORT OF DEFENDANT QATAR NATIONAL BANK'S MOTION TO DISMISS PLAINTIFFS' COMPLAINT

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PRELIMINARY STATEMENT

Pursuant to Fed. R. Civ. P. 12(b)(2), 12(b)(5), and 12(b)(6), Defendant Qatar National Bank Q.P.S.C. ("QNB") moves to dismiss all claims brought against QNB in Plaintiffs' complaint (the "Complaint") and respectfully submits this memorandum of law in support of its motion to dismiss.

While QNB condemns all acts of terrorism, this litigation is a misguided effort, which courts have repeatedly rejected, to assign liability to a well-respected bank doing business in the Middle East for nothing more than providing routine banking services to its customers in the region. The Complaint makes not one allegation regarding any specific act by QNB that is connected even remotely to the violent acts that Plaintiffs allege injured them or their relatives. Worse still, there is not a single allegation of any act by QNB in the United States, much less in New York, that would permit this Court's exercise of personal jurisdiction over QNB. Indeed, Plaintiffs' "theory" of personal jurisdiction over QNB is one that has been repeatedly rejected by the courts. QNB therefore respectfully moves to dismiss the claims brought against it.

Founded in 1964, QNB is a commercial bank incorporated in Qatar and headquartered in Qatar's capital city of Doha. QNB has subsidiaries and affiliates in Asia, Europe, and Africa, but none in the Americas (let alone in the United States or in the state of New York.)

As a preliminary matter, the Complaint, which has still not been effectively served, fails to make even a prima facie showing of personal jurisdiction over QNB in this Court and should therefore be dismissed under Fed. R. Civ. P. 12(b)(2). None of the allegations regarding Defendants' supposed contacts with the forum state, New York, identify any act taken by QNB specifically.

The Complaint also fails to make out even a plausible case of liability against QNB, based on nothing more than "maintaining" bank accounts in Qatar. Plaintiffs advance primary and secondary liability claims against QNB under the Anti-Terrorism Act ("ATA"), 18 U.S.C. § 2333(a), et seq., and, as amended, under the Justice Against Sponsors of Terrorism Act

("JASTA"), 18 U.S.C. § 2333(d)(2), et seq. These claims are based on ten unconnected and generally unsophisticated attacks occurring in Israel and in the West Bank between June 2014 and December 2016, none of which is tied, in even the most remote fashion, to QNB.

ARGUMENT

I. PLAINTIFFS' COMPLAINT SHOULD BE DISMISSED AS TO QNB FOR LACK OF PERSONAL JURISDICTION.

The Court should dismiss Plaintiffs' Complaint as to QNB given Plaintiffs' failure to make even a prima facie showing of personal jurisdiction over QNB. "[T]o survive a motion to dismiss for lack of personal jurisdiction, a plaintiff must make a prima facie showing that jurisdiction exists." *SPV Osus Ltd. v. UBS AG*, 882 F.3d 333, 342 (2d Cir. 2018) (quoting *Penguin Grp. (USA) Inc. v. Am. Buddha*, 609 F.3d 30, 34-35 (2d Cir. 2010)). Moreover, in a case such as this with multiple defendants, Plaintiffs bear the burden of establishing that personal jurisdiction exists for each defendant. *Walden v. Fiore*, 571 U.S. 277, 284 (2014).

The Second Circuit has consistently held that, in determining whether a plaintiff has met this burden, the court will not draw "argumentative inferences" in the plaintiff's favor nor will it "accept as true a legal conclusion couched as a factual allegation." *Licci ex rel. Licci v. Lebanese Canadian Bank, SAL (Licci I)*, 673 F.3d 50, 59 (2d Cir. 2012) (internal quotation marks omitted).

A. Plaintiffs Fail to Make a Prima Facie Showing of Proper Service on QNB.

Plaintiffs' own filings acknowledge doubts regarding the legality under Qatari law of a foreign court seeking to serve a civil summons via registered mail or its equivalent. Service of a court summons, by which act the court obtains authority over the party summoned, is an exercise of governmental power, and one state government is generally prohibited from exercising sovereign power in the territory of another without its consent. See *AG of Can. v. R.J. Reynolds Tobacco Holdings, Inc.*, 268 F.3d 103, 111 n.6 (2d Cir. 2001).

To make a prima facie showing of personal jurisdiction over QNB, Plaintiffs must meet three requirements: "First, the plaintiff's service of process upon the defendant must have been procedurally proper. Second, there must be a statutory basis for personal jurisdiction that renders such service of process effective . . . . Third, the exercise of personal jurisdiction must comport with constitutional due process principles." *Waldman v. Palestine Liberation Org.*, 835 F.3d 317, 327 (2d Cir. 2016) (quoting *Licci I*, 673 F.3d at 59-60).

B. Plaintiffs Fail to Make a Prima Facie Showing that This Court Has Specific Personal Jurisdiction over QNB Pursuant to New York's Long-Arm Statute.

1. Plaintiffs' Jurisdictional Allegations as to QNB

Plaintiffs' Complaint, however, as well as their pre-motion letter, is bereft of any specific allegation that QNB transferred any funds through any New York bank, much less that QNB transferred Qatar Charity funds through a New York correspondent bank in direct support of the terrorist acts alleged in the Complaint. In an effort to overcome this deficiency, Plaintiffs invoke a "conspiracy theory" of personal jurisdiction, whereby Plaintiffs seek to attribute to QNB the alleged transfers of Qatar Charity funds through New York by co-defendant MAR. *Suber v. VVP Servs., LLC*, No. 20-cv-8177 (AJN), 2021 WL 4429237, at *6 (S.D.N.Y. Sept. 27, 2021) ("[T]he conspiracy theory of jurisdiction is not available under section 302(a)(1)").

Plaintiffs do not assert a theory of general jurisdiction over QNB, nor could they. QNB is decidedly not "at home" in New York; it is incorporated in Qatar and has its principal place of business in Doha, Qatar.[1] See *Weiss v. Nat'l Westminster Bank, PLC*, 176 F. Supp. 3d 264, 277 (E.D.N.Y. 2016).

While not addressed in Plaintiffs' pre-motion letter, the Complaint alleges two additional statutory bases for personal jurisdiction: (i) minimum contacts with the United States as a whole pursuant to Fed. R. Civ. P. 4(k)(2) and (ii) service of process as provided under the ATA. These

[1] QNB neither maintains even one branch in New York (or the United States), see *Gucci Am., Inc. v. Weixing Li*, 768 F.3d 122, 135 (2d Cir. 2014), nor does QNB have any employees based in New York (or the United States), see *SPV Osus*, 882 F.3d at 343. QNB is not at home in this forum, and the Complaint does not allege otherwise.

are also insufficient bases to establish personal jurisdiction over QNB. The ATA provides that "any civil action under section 2333 of this title against any person may be instituted in the district court of the United States for any district where any plaintiff resides or where any defendant resides or is served, or has an agent." 18 U.S.C. § 2334(a). QNB does not reside or have an agent in the Eastern District of New York, and Plaintiffs do not reside nor have they served QNB in this district.

2. Plaintiffs' "Conspiracy Theory" of Specific Personal Jurisdiction over QNB Is Not Cognizable Under Section 302(a)(1) of New York's Long-Arm Statute.

Plaintiffs rely solely upon C.P.L.R. 302(a)(1) to assert personal jurisdiction over QNB. To exercise personal jurisdiction under C.P.L.R. 302(a)(1), the Court must determine "(1) whether the defendant 'transacts any business' in New York and, if so, (2) whether this cause of action 'aris[es] from' such a business transaction." *Licci I*, 673 F.3d at 60 (quoting *Best Van Lines, Inc. v. Walker*, 490 F.3d 239, 246 (2d Cir. 2007)). The Second Circuit has explained that "the overriding criterion necessary to establish a transaction of business is some act by which the defendant purposefully avails itself of the privilege of conducting activities within New York." *Licci I*, 673 F.3d at 61 (internal quotation marks omitted).

Plaintiffs' collective pleading against "Defendants" generally contributes nothing to the jurisdictional analysis. As the Second Circuit has made clear, such allegations against defendants in the aggregate are not cognizable in a jurisdictional analysis. See *Charles Schwab Corp. v. Bank of Am. Corp.* (*Schwab I*), 883 F.3d 68, 84 (2d Cir. 2018) (allegations that "refer[] to only the grouped entities throughout [a] complaint" are "insufficiently 'individualized'").

Here, the Complaint is devoid of a single allegation that QNB itself had any contact with New York, much less transacted business in New York that gave rise to Plaintiffs' injuries. As the Supreme Court has instructed, a district court must look to the "contacts that the defendant himself creates with the forum." *Walden*, 571 U.S. at 284 (internal quotation marks omitted). The Complaint does not allege that QNB ever effectuated or directed even one fund transfer

through New York, let alone that QNB used a correspondent bank account in New York to effect a fund transfer on behalf of Qatar Charity.

C. Plaintiffs' "Conspiracy Theory" of Personal Jurisdiction Is Not Consistent with the Requirements of Due Process.

Even if Plaintiffs could satisfy the statutory requirements, the exercise of jurisdiction over QNB would offend due process. The Complaint contains no allegation that QNB exercised any control over any other defendant or directed them to transfer funds through New York. Plaintiffs' allegation that QNB and MAR were "connected" through a common association with Qatar Charity and the Qatar government would not establish control by QNB of MAR's alleged contacts with New York, even if it were true.

II. PLAINTIFFS FAIL TO STATE A CLAIM THAT QNB IS SECONDARILY LIABLE UNDER 18 U.S.C. § 2333(D) FOR AIDING AND ABETTING.

The Complaint's reliance on unsourced allegations does not satisfy the general-awareness requirement for aiding and abetting liability. Plaintiffs do not plausibly allege that QNB was "generally aware while it was providing banking services to [Qatar Charity and the individual accountholders] that it was playing a role in unlawful activities from which [the various] attacks were foreseeable." *Honickman v. BLOM Bank SAL*, 6 F.4th 487, 499 (2d Cir. 2021) (quoting *Kaplan v. Lebanese Canadian Bank, SAL*, 999 F.3d 842, 860-61 (2d Cir. 2021)). An unsupported allegation concerning confidential government documents unavailable to QNB hardly gives rise to an inference that QNB was "generally aware" of its customer's alleged ties to terrorism.[2]

Nor does the Complaint plausibly allege that the terrorist incidents at issue were a foreseeable result of QNB's "maintaining" bank accounts for Qatar Charity, as JASTA would require. The six factors relevant to whether a defendant knowingly and substantially assisted the principal violation all favor QNB. See *Honickman*, 6 F.4th at 499.

[2] In stark contrast to the Complaint's reliance on unsourced allegations and hearsay reports of private information, Qatar Charity has compiled numerous public sources that much more strongly support the opposite inference, that QNB could not have had the requisite general awareness. See Qatar Charity Br. at Section II.A.1.

CONCLUSION

For the foregoing reasons, Qatar National Bank respectfully submits that the Court should grant in full its Motion to Dismiss Plaintiffs' Complaint with prejudice.

Dated: February 14, 2022

Respectfully submitted,

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CERTIFICATE OF COMPLIANCE

I certify that this memorandum of law complies with the word-count limit of Local Civil Rule 7.1(c). Excluding the caption, table of contents, table of authorities, signature block, and certificates, it contains 1792 words, as counted by the template. The count must be confirmed against the word-processing program used to prepare the filed document.

CERTIFICATE OF SERVICE

I, Michael McGovern, hereby certify that true and correct copies of Defendant Qatar National Bank's Notice of Motion to Dismiss the Complaint, as well as its Memorandum of Law in Support of Its Motion to Dismiss the Complaint, were filed through the ECF system and will be sent electronically to the registered participants as identified on the Notice of Electronic Filing.

Dated: February 14, 2022

Respectfully submitted,

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